world really didn't change that much in 2008. It was just that people finally noticed there was a problem.

Consider the current U.S. debt problem. A lot of people say there is apparently no inflationary threat from the growing U.S. debt because bond yields are low. But that's not true. Bond yields will only signal that there is a problem when it is too late to fix it. You have to believe in market efficiency to believe that the market will adequately price fiscal risk. Could there be a crisis in five years? Sure. Why? Because people start to care. Currently, it's not in the price. But one day, it might be. If a major financial catastrophe happens, people will talk about how it was caused by this event or that event. If it happens, though, it will be because there were fundamental reasons that were there all along.

There will always be something that happens at the same time. Calling it a catalyst isn't very helpful in explaining anything. Did World War I start because the Archduke was assassinated? Well, kind of, but mainly not. I don't subscribe to the catalyst theory of history. But most people love it, especially in markets, because they can point to that one cause and say, "Who knew that could happen?"

**When you have tremendous fundamental imbalances, the change can occur anywhere along the way. Nasdaq topped above 5,000, but it could just as well have been 3,000 or 7,000. It just happened to top above 5,000. Predicting the top of a bubble is like trying to predict the weather one year out—the same set of conditions can lead to wildly different outcomes if replayed multiple times.**

Absolutely right, and I can't predict that turnaround. It's very difficult. But you can notice when things have changed. Most people, though, don't. When Nasdaq is at 4,000 after having been at 5,000, there are lots of people buying it because it is cheap. They reason, "It used to be 5,000. Now it's only 4,000. I am getting a bargain." People are very poorly attuned to making decisions when there is uncertainty. Do you know the difference between risk and uncertainty?

**Do you mean that in the realm of risk, you know the odds, but with uncertainty, you don't know the odds?**